

The complaint

Mr B and Miss G have complained about AXA Insurance UK Plc's decision to classify their claim under their home insurance policy under the heading of "flood" rather than "escape of water".

What happened

Mr B and Miss G contacted AXA after rainwater entered their property causing damage. They believed the problem was caused by a blocked drain. AXA arranged for an emergency plumber to attend and unblock the drain. It later arranged for its contractor to repair the damage.

Mr B and Miss G subsequently noted that AXA had recorded the claim as flood damage. They disputed this as they believed the problem had been caused by the blocked drain. They considered the claim should be more appropriately be recorded as due to an escape of water. They also had concerns over the quality of the repair work. They complained to AXA.

AXA wouldn't change the way it had recorded the claim. It said its loss adjuster had confirmed that the damage had been caused by a flash flood which had caused the drains to back up due to being unable to cope with the volume of water. It was unsure why Mr B and Miss G were unhappy with the quality of the completed work but invited them to contact its claims department to discuss this.

Mr B and Miss G were unhappy at AXA's response. They were concerned that the flood classification would have an adverse impact on their future insurance premiums and on the property's re-sale value. They referred their complaint to us. They also raised a concern over the recorded cost of the claim.

Our investigator recommended that the complaint should not be upheld. He was satisfied that it was fair for AXA to classify the claim under the heading of flood. He could see no evidence that Mr B and Miss G had previously raised concerns over the quality of the work but noted that AXA had invited them to provide further details to its claims department which he thought was reasonable. He was satisfied that the cost of the claim had been recorded accurately and fairly.

Mr B and Miss G accepted the investigator's findings in respect of the quality of work and the recorded cost of the claim. However, they didn't accept his findings in respect of the claim classification. They said they first become aware of the water when it started appearing through their false floor. They believed the drain had become blocked by debris from building work and the rainwater, due to not being able to enter the drain, had found its way into the house where it had built up gradually out of sight. They provided data on nearby river levels to show that the level, although high, had in the past been higher and yet they had never before experienced issues of water entering their property. They considered that their claim should more appropriately be classed as an escape of water from the drainage system.

In view of the continued disagreement, the matter has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The policy provides cover for damage caused by certain perils. One of these perils is flood which the policy describes as follows:

“An invasion of the property by a large volume of water caused by a rapid build-up or sudden release of water from outside the buildings”

AXA's loss adjuster said that the cause of the damage to Mr B and Mrs G's property was a flash flood which caused the drain to back up because it couldn't cope with the amount of rainfall. AXA has provided evidence to show there had been very heavy rainfall in the local area in the days leading up to Mr B and Miss G's claim. AXA has confirmed there were flash floods in nearby areas on that day which led to insurance claims being made. On the face of it, this seems the likely explanation for the water entering the property which means the claim correctly falls under the flood peril.

Mr B and Miss G dispute this. They say the drain was blocked and the build-up of water happened gradually. They point out that another of the insured perils under the policy is escape of water, including from a fixed drainage installation. They consider that this is how their claim should be classified.

I'm not persuaded by Mr B and Miss G's argument. First, if the drain had been completely blocked before the heavy rainfall started, I would have expected this to be evident beforehand. And secondly, I consider that an escape of water occurs when water has been released from the apparatus containing it as, for example, would happen in the case of a burst pipe. In this case, the water hasn't escaped from the drain because it never entered the drain in the first place.

Mr B and Miss G think they have been disadvantaged because there is no report available from the emergency plumber who cleared the drain, even though this plumber was arranged by AXA. However, although there is some dispute over what caused the drain to block (AXA's loss adjuster advised it was mud and natural garden debris while Mr B and Miss G say it was building debris) I consider that any report from the plumber would be unlikely to make a difference to the outcome. This is because there seems to be no dispute that it was the rainwater which was unable to enter the drain which caused the damage to the property.

Mr B and Miss G have provided evidence to show the nearby river level was not the highest it had ever been. However, I don't consider that this shows their claim should not be classified under the flood heading. Local circumstances will determine the effect of a particular level of rainfall. In this case, the effect of the rainfall was exacerbated by the inability of the drain to perform its intended function. That doesn't alter the fact that their claim was due to flooding.

I recognise that Mr B and Miss G are frustrated by the consequences of having a flood claim registered against their property. However, I'm satisfied that the proximate cause of the damage to their property was the rainwater which flooded the ground outside the house. I do not consider it is appropriate to go further on this occasion and look for the cause of that flooding and I consider that Mr B and Miss G did not have an eligible claim under the heading of escape of water in any case. I'm satisfied that AXA acted reasonably by classifying the claim in the way it did.

My final decision

For the reasons given above, my final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr B and Miss G to accept or reject my decision before 5 April 2021.

David Poley

Ombudsman